

Private Equity Deal Team — Mental Model

Three core workflows: Customer Analysis · Financial Modelling · IC Documentation

WORKFLOW 1

Customer Data Analysis

Job to be done: Pressure-test revenue durability & cash-flow predictability

Who

Associates + VPs · Diligence phase (4–6 wks)

Shape

Iterative — pull, clean, analyse, recut. Very spreadsheet-heavy.

01

Cohort & Retention

Bar chart

Excel

02

Revenue Concentration

Bar chart + table

Excel

03

Unit Economics (CAC / LTV)

Model tab

Excel

04

Churn Attribution

Bar chart

Excel → PPT

05

NRR / Expansion

Bar chart

Excel

06

Customer Segmentation

Segment matrix

PowerPoint

WORKFLOW 2

Financial Modelling & Valuation

Job to be done: Determine max entry price & debt capacity to hit the return hurdle

Who

Analysts + Associates build · VPs review & stress-test

Shape

Non-linear, highly iterative — model updates as diligence sharpens assumptions.

01

3-Statement Model

Linked P&L / BS / CF

Excel

02

Revenue Build

Bottom-up by product / geo / customer

Excel

03

EBITDA Bridge

Normalised waterfall chart

Excel

04

Debt Structuring / LBO

IRR / MOIC sensitivity table

Excel

05

Valuation Analysis

Comps table + DCF

Excel + CapIQ

06

Scenario Analysis

Tornado chart

Excel

07

Working Capital

WC peg schedule

Excel

WORKFLOW 3

IC Slide Generation

Job to be done: Synthesise all diligence into a compelling go / no-go recommendation for IC

Who

VP / Principal authors · MD / Partner reviews

Shape

Linear assembly, highly collaborative — many contributors, many revision rounds.

01

Investment Thesis

Narrative slide

PowerPoint

02

Market & Competitive

TAM in table

PowerPoint

03

Financial Summary

Charts embedded

PowerPoint

04

Diligence Summary

Risk table with mitigants

PowerPoint

05

Deal Structure & Returns

Sources & uses

PowerPoint

06

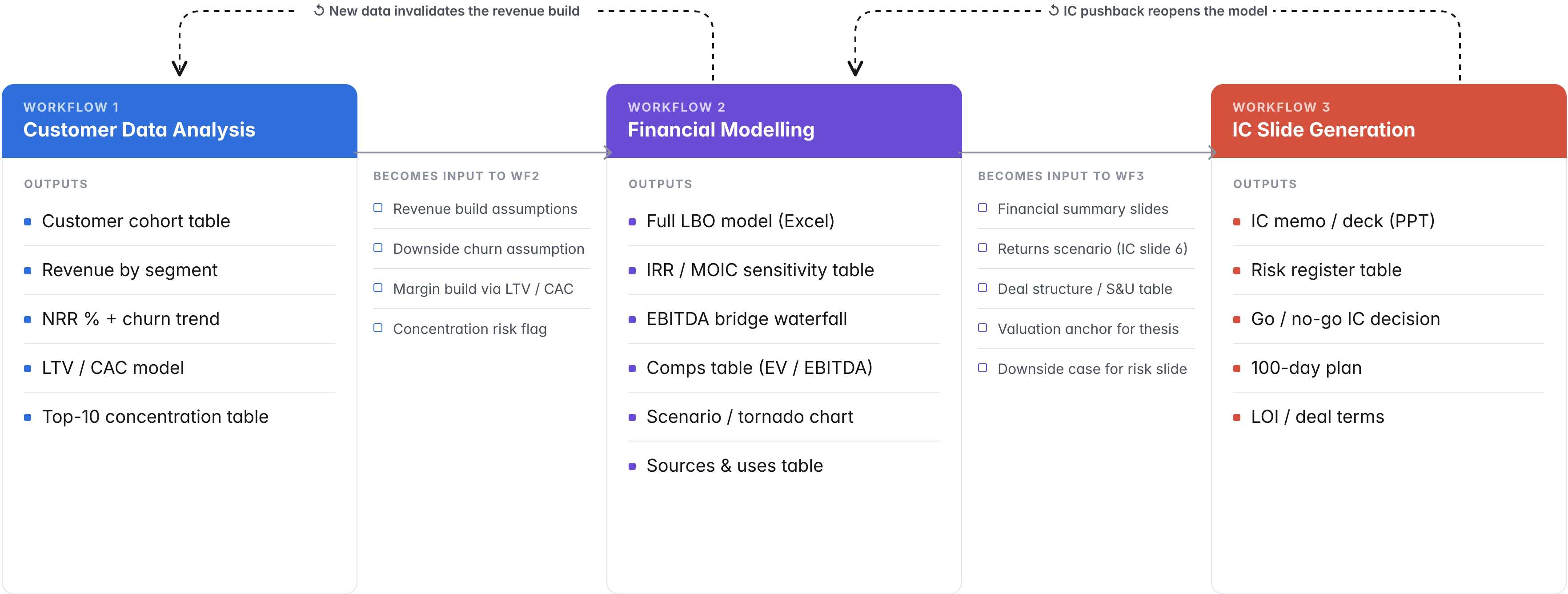
Risk & Value Creation

Risk register

PowerPoint

How each workflow feeds the next

Outputs become inputs downstream — and late findings loop back upstream.



The question behind each workflow

What deal-team members are really trying to answer — and where it hurts.

CUSTOMER ANALYSIS "Is this revenue real and durable?" APPROACH Like a prosecutor: assume the revenue is fake until they can prove otherwise. KEY ANXIETY Is churn accelerating? Is the top customer leaving? Are margins real per segment? DECISION GATE NRR > 100%? LTV / CAC > 3×? If yes, the revenue thesis holds. If not, reprice or walk. BIGGEST PAIN Data is never clean. Getting customer data from target CFOs takes days; shaping it into usable cohorts takes more.	FINANCIAL MODELLING "What price can I pay and still hit my return hurdle?" APPROACH Work backwards from a target IRR (typically 20–25%+) and solve for the maximum justifiable entry multiple. A LIVING DOCUMENT Every diligence finding — customer churn, margin normalisation — flows back into the model. KEY ANXIETY Am I buying at peak margins? Is EBITDA normalised correctly? Will covenants hold in the downside? BIGGEST PAIN Managing model versions across a team, linking assumptions across tabs, and rebuilding mid-diligence when numbers restate.	IC DOCUMENTATION "Can I get the IC to say yes?" APPROACH Audience-first: what will the IC ask, and which risks will they push back on hardest? POLITICS The thesis slide is the most political — partners debate framing, word choice and narrative angle. WHAT IC CARES ABOUT The deck runs 30–60 pages, but the IC only cares about the thesis, key risks and the return scenario. BIGGEST PAIN Last-mile assembly — stitching Excel charts into PowerPoint, version chaos, and constant late-stage number updates.
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